

Employee Expense Reimbursement Policy – California Employees

Purpose

This policy outlines reimbursement procedures for approved business expenses incurred by employees while conducting Company business. The Company complies with California Labor Code Section 2802 and reimburses employees for all necessary and reasonable business expenses incurred in the course and scope of employment. The purpose of this policy is to establish consistent reimbursement practices, ensure compliance with applicable laws, provide clear guidance to employees and managers, and promote responsible stewardship of Company resources. Employees should not be required to personally absorb costs incurred on behalf of the Company. At the same time, employees are expected to exercise sound judgment and make cost-conscious spending decisions.

Employees and managers share responsibility for ensuring compliance with this policy. Consistent application of reimbursement requirements helps maintain fairness, financial accountability, and compliance with legal obligations. All reimbursement decisions should be guided by business necessity, reasonableness, proper documentation, and responsible use of Company resources.

Scope

This policy applies to all California employees, including full-time employees, part-time employees, temporary employees, interns, and other workers authorized to incur business expenses on behalf of the Company. The Company operates primarily on-site in San Diego, California, with approved hybrid work arrangements available. This policy applies regardless of whether expenses are paid personally and submitted for reimbursement or charged directly to a Company payment method.

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Policy Principles

All reimbursable expenses must be necessary, reasonable, appropriately documented, and incurred primarily for a legitimate business purpose. Employees should seek approval before incurring significant expenses whenever practical. Reimbursement requests must be accurate, complete, and submitted within required timelines. Managers and Finance personnel are expected to review submissions consistently and fairly.

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California Compliance

California Labor Code Section 2802 requires employers to reimburse employees for necessary expenditures incurred in direct consequence of performing job duties. The Company is committed to complying with this requirement. Employees who believe they have incurred a business-related expense not specifically addressed in this policy should consult Human Resources or Finance for guidance. The Company will evaluate such requests based on applicable law, business necessity, and reasonableness.

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General Guidelines

Employees are expected to spend Company funds responsibly and in a manner consistent with what a prudent individual would spend if paying personally. Expenses should be limited to those necessary to achieve a business objective. Employees should avoid unnecessary premium services, upgrades, or luxury purchases. Whenever possible, employees should compare options and select cost-effective alternatives that adequately support business needs.

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Travel Expenses

Approved business travel expenses may include airfare, lodging, meals, parking, tolls, ground transportation, conference registration fees, mileage reimbursement, baggage fees, internet access required for business purposes, and other reasonable expenses directly related to business travel. Employees should follow the Company's Business Travel Policy for additional guidance.

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Hybrid and Remote Work Expenses

Employees approved for hybrid or remote work arrangements may be eligible for reimbursement of certain business-related expenses. Examples may include approved office equipment, business software subscriptions, communication expenses, and internet services when required by California law or Company policy. Employees should obtain approval before purchasing equipment or services intended for reimbursement.

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Office Supplies and Equipment

Employees may be reimbursed for approved office supplies and equipment purchased for business purposes. Examples include keyboards, monitors, webcams, ergonomic accessories, printers, stationery, and other approved tools necessary to perform assigned job duties. Purchases should be approved in advance whenever possible and should comply with Company procurement guidelines.

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Technology Purchases

Technology purchases require management approval before acquisition. Employees should coordinate with Information Technology personnel when applicable. Unauthorized purchases of computers, tablets, software, storage devices, mobile phones, or similar technology may be denied reimbursement. The Company reserves the right to specify approved vendors and configurations.

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Training and Professional Development

The Company supports employee growth and development. Approved expenses associated with professional development activities may be reimbursable. Examples include

conferences, seminars, workshops, professional memberships, continuing education programs, certification examinations, and training materials. Employees should obtain approval before registering for training programs or purchasing educational resources.

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Meal Reimbursement

Employees traveling on approved Company business may be reimbursed up to \$125 per person, per day. The allowance includes breakfast, lunch, dinner, beverages, snacks, and reasonable gratuities. Employees are expected to exercise moderation and avoid excessive spending. Alcohol is generally not reimbursable unless specifically approved for client entertainment or Company-sponsored events.

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Client Entertainment

Reasonable client entertainment expenses may be reimbursable when directly related to business development, relationship management, or customer engagement. Employees must document the business purpose, attendees, and expected business benefit associated with the event. Excessive entertainment expenses may be denied reimbursement.

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Hotel and Lodging

Hotel reimbursement is limited to \$200 per night before taxes and fees unless an exception is approved in advance. Employees should select safe, clean, and reasonably priced accommodations located near the business destination whenever practical. Conference hotels may exceed standard limits when attendance would otherwise become impractical.

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Airfare

Employees should book economy-class airfare and select the lowest logical fare that satisfies business requirements. Upgrades require executive approval. Employees should make reservations as early as practical to secure lower fares. Fees associated with reasonable baggage requirements and business-related travel needs may be reimbursed.

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Mileage Reimbursement

Employees using personal vehicles for approved business travel will be reimbursed at the current IRS standard mileage rate unless otherwise required by California law. Mileage reimbursement is intended to cover fuel, maintenance, insurance, depreciation, and vehicle operating costs. Employees must maintain accurate mileage records.

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Expense Documentation

Employees must provide itemized receipts whenever available. Documentation should include the amount, vendor, date, and nature of the expense. Employees should maintain records sufficient to demonstrate the business purpose of each expense. Electronic copies of receipts are generally acceptable.

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Expense Submission Procedures

Expense reports should be submitted within thirty calendar days following the date the expense was incurred or within thirty days of completing travel. Expense reports must include supporting documentation, business justification, dates, locations, and attendee information when applicable. Delayed submissions may result in reimbursement delays.

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Approval Process

Managers are responsible for reviewing expense reports for compliance with Company policy. Managers should verify business necessity, completeness, documentation quality, and reasonableness of expenses before approving reimbursement requests. Finance may conduct additional review before processing payment.

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Corporate Credit Cards

Employees issued Company credit cards must use them solely for authorized business expenses. Personal charges are prohibited. Cardholders must submit receipts and reconcile charges according to Company requirements. Misuse of Company credit cards may result in disciplinary action.

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Audits and Record Retention

The Company reserves the right to audit expense reports and reimbursement requests at any time. Employees should retain supporting documentation for a reasonable period following reimbursement. Finance may request additional information when necessary to validate an expense.

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Fraud Prevention

Employees are expected to act honestly and ethically. Submitting false, misleading, duplicate, inflated, or otherwise fraudulent expense claims is prohibited. Examples include

altering receipts, claiming personal expenses as business expenses, submitting duplicate reimbursement requests, or knowingly misrepresenting the purpose of an expense.

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Policy Violations

Failure to comply with this policy may result in denied reimbursement, counseling, corrective action, loss of purchasing privileges, revocation of Company credit card access, or disciplinary action up to and including termination of employment. The Company reserves the right to pursue recovery of improperly reimbursed funds.

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Frequently Asked Questions

Employees are encouraged to contact Finance or Human Resources whenever questions arise regarding reimbursement eligibility, documentation requirements, approval procedures, or interpretation of this policy. Seeking clarification before incurring an expense is the best way to avoid reimbursement issues.

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Policy Administration

The Company reserves the right to revise, modify, suspend, or discontinue this policy at any time, subject to applicable law. Nothing in this policy creates a contract of employment or alters the at-will employment relationship. Employees are responsible for complying with the most current version of this policy.

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Appendix 1: Expense Reimbursement Best Practices

Employees should retain receipts, document business purposes clearly, submit expenses promptly, obtain advance approvals whenever possible, compare costs before making purchases, and use Company-approved vendors and processes. Managers should review expenses consistently, communicate expectations, monitor budgets, and address concerns proactively. These practices support compliance, transparency, operational efficiency, and responsible stewardship of Company funds. Employees should retain receipts, document business purposes clearly, submit expenses promptly, obtain advance approvals whenever possible, compare costs before making purchases, and use Company-approved vendors and processes. Managers should review expenses consistently, communicate expectations, monitor budgets, and address concerns proactively. These practices support compliance, transparency, operational efficiency, and responsible stewardship of Company funds. Employees should retain receipts, document business purposes clearly, submit expenses promptly, obtain advance approvals whenever possible, compare costs before making purchases, and use Company-approved vendors and processes. Managers should review expenses consistently, communicate expectations, monitor budgets, and address concerns proactively. These practices support compliance, transparency, operational efficiency, and responsible stewardship of Company funds.

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